IN THE NATIONAL COMPANY LAW TRIBUNAL, SPECIAL BENCH - I, CHENNAI

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation* of

CP(CAA)/8(CHE)2023 IN CA(CAA)/65(CHE)2022

MADANLAL STEELS AND FORGINGS PRIVATE LIMITED
CIN NO: U27104TN1975PTC060016
Flat No.4/5, Third Floor, SK Enclave,
Old No.47, New No.4, Nowroji Road,
Chetpet, Chennai – 600 031

... First Applicant Company / First Transferor Company

MADANLAL FORGE PRIVATE LIMITED
CIN NO: U27320TN2007PTC062486
Flat No.4/5, Third Floor, S K Enclave,
Old No.47, New No.4, Nowroji Road,
Chetpet, Chennai – 600 031

... Second Applicant Company / Second Transferor Company

NUTEC OIL AND ENERGY PRIVATE LIMITED
CIN NO: U40300TN2012PTC084620
Flat No.4/5, Third Floor, S K Enclave,
Old No.47, New No.4, Nowroji Road,
Chetpet, Chennai – 600 031

... Third Applicant Company / Third Transferor Company

DECCAN PROPERTIES PRIVATE LIMITED
CIN NO: U70101TN1982PTC009245
Flat No.4/5, Third Floor, S K Enclave,
Old No.47, New No.4, Nowroji Road,
Chetpet, Chennai – 600 031

... Fourth Applicant Company / Fourth Transferor Company

And

TAMIL NADU ROLLING MILLS LIMITED
CIN NO: U27107TN1978PLC007470
Flat No.4/5, Third Floor, S K Enclave,
Old No.47, New No.4, Nowroji Road,
Chetpet, Chennai – 600 031

... Applicant/ Transferee Company

And

THEIR RESPECTIVE SHAREHOLDERS

Order Pronounced on ***07th June 2023***

CORAM

SANJIV JAIN, MEMBER (JUDICIAL)

SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s) : *P.H.Arvindh Pandian, Senior Counsel for Pawan Jhabakh, Advocate*
For Regional Director: Avinash Krishnan Ravi, Advocate
For Official Liquidator: Palani

Per: **SAMEER KAKAR, MEMBER (TECHNICAL)**

The hearing of this Company Petition has been conducted through video conferencing platform.

2. The present Joint Company Petition has been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation of **MADANLAL STEELS AND FORGINGS PRIVATE LIMITED** (for brevity "First Transferor Company"), **MADANLAL FORGE PRIVATE LIMITED** (for brevity "Second Transferor Company"), **NUTEC OIL AND ENERGY PRIVATE LIMITED** (for brevity "Third Transferor Company"), **DECCAN PROPERTIES PRIVATE LIMITED** (for brevity "Fourth Transferor Company") and **TAMIL NADU ROLLING MILLS LIMITED** (for brevity "Transferee Company") under section 230-232 of Companies Act, 2013, and other applicable provisions of the

Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Petitioner Companies. The said Scheme is annexed at *"Annexure A 17"* in respect of the Joint Company Petition typeset.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Transferor Companies (1 to 4) and Transferee Company had filed First Motion Application vide CA(CAA)/65(CHE)/2022 seeking directions as follows:

	EQUITY SHAREHOLDERS	PREFERENCE SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
TRANSFEROR COMPANY-1	To Dispense with	NIL	To Dispense with	To Dispense with
TRANSFEROR COMPANY-2	To Dispense with	To Dispense with	NIL	NIL
TRANSFEROR COMPANY-3	To Dispense with	NIL	NIL	To Dispense with
TRANSFEROR COMPANY-4	To Dispense with	NIL	NIL	To Dispense with
TRANSFEREE COMPANY	To Dispense with	NIL	To Dispense with	To Dispense with

3.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013, directions were issued by this Tribunal, vide order dated ***12th January 2023***, to dispense the meetings as

sought for in the prayer made in the company application which is tabulated above. Subsequently the second motion petition was filed before this Tribunal by the petitioner companies on ***27.01.2023*** for sanction of the Scheme of Amalgamation by this Tribunal.

4. **RATIONALE OF THE SCHEME**

4.1. The rationale and benefits of the Scheme as submitted by the Petitioner Companies would *inter alia* result in the following benefits;

a) The Transferor and Transferee Companies under the scheme propose to consolidate its business operations and explore business opportunities.

b) The amalgamation will enable consolidation of the business of the five entities into one entity which will facilitate focused growth, operational efficiency, integration synergies and better supervision of the proposed business of the group.

c) The amalgamation will enable pooling of resources of the Transferor Companies with the resources of the Transferee Company to their advantage, resulting in more productive utilization of said resources, and cost and operational efficiency which would be beneficial to all stakeholders.

d) The amalgamation would facilitate scaling up of operations, reduce administrative costs and gamer greater visibility in the market.

e) The amalgamation would reduce shareholding layers and enable the shareholders of the Transferee Company to have direct control of the assets/business of the Transferor Companies.

f) The amalgamation will also enable smoother implementation of policy changes at a higher level from a management perspective and shall also help enhance the efficiency and control of the entities. There is no likelihood that interests of any shareholder or creditor of either the Transferor Companies or the Transferee Company would be prejudiced as a result of the Scheme. The Amalgamation will not impose any additional burden on the members of the Transferor Companies or the Transferee Company;

5. In the second motion Petition filed by the Petitioner Companies, this Tribunal vide order dated ***22.02.2023*** directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region),Chennai (ii) RoC, Chennai, (iii) Official Liquidator (iv) Deputy Commissioner of Income Tax, and other sectoral regulators, who may govern the working of the respective companies, as well as for paper publication to be made in "The New

Indian Express", English (All India Edition) and "Dina Malar" Tamil (Tamil Nadu Edition).

6. In compliance to the said directions issued by this Tribunal, the Petitioner Companies filed an affidavit of service before the Registry of this Tribunal on ***12.04.2023*** vide ***SR No. 1614.*** A perusal of the same discloses that the Petitioner Companies have effected paper publications as directed by the Tribunal in "The New Indian Express" (All India Edition) in English and "Dina Malar" (Tamil Nadu Edition) in Tamil on 27.03.2023. It is also seen that notices have been also served to (i) Regional Director, Southern Region, Chennai on 21st March 2023, (ii) Registrar of Companies, Chennai on 21st March 2023, (iii) Official Liquidator on 21st March 2023 (iv) Deputy Commissioner of Income Tax on 20th March 2023, and the proof of the same by way of affidavits have been enclosed with the separate typed set. Pursuant to the service of notice of the petition following statutory authorities have responded as follows:

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director, Southern Region *(hereinafter referred to as 'RD')* Chennai has filed his Report before this Tribunal on

03.05.2023 vide ***S.R.No.1912*** and has stated in Para 8 of the RD Report that as per Clause 6 of Part II of the Scheme states about the protection to the employees of the Transferor Companies (1 to 4). It is submitted that the employees of the Transferor Companies (1 to 4) in service on the Effective Date, shall be deemed to have become staff and employees of the Transferee Company with effect from the Appointed Date or date of joining, whichever is later without any break in their service and other benefits.

7.2. It is further averred in para 9 of the Report that as per Clause 9 of Part II of the Scheme, the Transferee Company shall issue and allot to the Shareholders of Transferor Companies (1) to (4) Equity Shares in the following proportion as consideration upon effectiveness of the Scheme of Amalgamation:

A. Transferor Company (1): 14,19,579 Equity Shares of Rs. 10 each of the Transferee Company in respect of 20,87,642 Equity Shares of Rs. 10 each held.

B. Transferor Company (2): 3,00,000 Equity Shares of Rs. 10 each of the Transferee Company in respect of 10,00,000 Equity Shares of Rs. 10 each and 20,00,000 Preference Shares of Rs. 10 each held.

C. Transferor Company (3): 100 Equity Shares of Rs. 10 each of the Transferee Company in respect of 10,000 Equity Shares of Rs. 10 each held

D. Transferor Company (4): 40 Equity Shares of Rs. 10 each of the Transferee Company in respect of 3,950 Equity Shares of Rs. 100 each held.

7. 3. It is submitted in para 11 of the RD report that Clause 10 of Part II of the Scheme provides for clubbing of Authorized Share Capital as such the Authorized Share Capital of the Transferor Companies (1 to 4) shall stand altered and merged with the Authorized Share Capital of the Transferee Company. It is further averred in the Report, that as per Clause V, MOA of the Transferee Company shall be altered as the Authorized Share Capital of the Company shall be Rs. 8,85,00,000 divided into 88,50,000 equity shares of Rs. 10 each. It is submitted by the RD that the Tribunal may direct the Transferee Company to pay the difference in fee/stamp duty and also file the amended MOA and AOA with the Registrar of Companies in connection with the proposed increase of Authorised Share Capital.

7.4. It is further submitted that as per para 13 of the report of the ROC, Chennai, the Transferor Companies (1 to 4) have filed their statutory returns upto 2021-2022 and the Transferee Company has filed its returns up to 2020-2021. It is further submitted that as per the Report of the ROC, Chennai, no prosecution/ complaint/ inspection is pending against the Transferor Companies (1 to 4).

7.5. Thus, after examining the Scheme, except the observations made in para 11 of the RD Report, the Regional Director in his Report has submitted that they have decided not to make any objection to the Scheme.

7.6. The Transferee Company on ***12.04.2023*** vide ***S.R.No.1615*** has submitted an affidavit before this Tribunal with respect to the observation made by RD in para 11 of the Report wherein it has submitted that an undertaking to remit the difference of fees, if any, for the enhanced authorized capital pursuant to the said Scheme and to file the amended MoA and AoA with the RoC, Chennai effecting the revision in the Authorized Share Capital of the Transferee Company.

7.7. OFFICIAL LIQUIDATOR

7.8. In relation to the Official Liquidator, *(hereinafter referred to as 'OL')* to whom the notice was issued, he has filed the Report before this Tribunal on ***12.04.2023*** vide ***SR.No.1606*** stating that they have appointed M/s. K.Srinivasaperumal & Co., Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Companies (1 to 4). It is stated that the said Chartered Accountant firm has verified the books

and accounts and other records of the above-mentioned Transferor Companies and submitted its report. Copy of the same is enclosed herewith and marked as Annexure- A.

7.9. It is stated that the Chartered Accountants have examined the Profit & Loss Account, Balance Sheet and other relevant books and records of Transferor Companies (1 to 4) for the period from 01/04/2017 to 31/03/2021. The minute's book of the meetings of the Members and Directors since the date of incorporation was also reviewed. The company closes its books of accounts every year 31st March. The accounts of Transferor Companies (1 to 4) have been audited by M/s. N.K. Lodha & CO., Chennai, Chartered Accountants and their report are generally not qualificatory in nature. The various records maintained at the Registrar of Companies offices, Chennai relating to Transferor Companies (1 to 4) and the registers were also scrutinized.

7.10. The Chartered Accountants in their report submitted before the Official Liquidator have observed as follows;

- The Transferor Companies are maintaining proper books of accounts as per the requirements of the Companies Act, 2013 as applicable.

- Almost all entries have been made in statutory registers in accordance with the requirements of the Companies Act, 2013 as applicable and no discrepancies were noticed.

- The files containing correspondence of the Transferor companies at the office of the Registrar of Companies were also examined by them and nothing adverse or objectionable affecting the interest of the Transferor Companies or its members or prejudicial to the public interest was noticed.

- The Transferor Companies has no unpaid Dividend or unclaimed dividend and hence the question of commenting on compliance of Section 124 of the Companies Act does not arise.

- The equity shares to be issued and allotted by the Transferee Company as in terms of this scheme shall rank pari-passu in all respects with the existing equity shares of the Transferee Company. The investments in the shares of the Transferor companies, appearing in the books of accounts of the Transferee shall, without any further act or deed, stand cancelled.

- As per the information provided to them there are no serious allegations against the Transferor Companies.

- According to records produced and according to the information made available no undue benefits have been derived by the Directors directly or indirectly from any transactions including inter-company loans and transactions, managerial remunerations etc. that the Transferor companies might have made.

- The Transferor Companies has no branches.

7.11. Further in Para 5 of the OL report, it is submitted that on the basis of their examination and information, the Chartered Accountants has submitted that the affairs of the Transferor Companies (1 to 4) have not been conducted in a manner prejudicial to the interest of its member or its creditors or to the public interest.

7.12. Further in Para 5 of the OL report, it is submitted that the Chartered Accountants have not noticed any instance of misappropriation and breach of trust on the part of the management of the Transferor Companies (1 to 4) in the course of their scrutiny of the books of accounts.

7.13. From the above observations made by the Chartered Accountant, the Official Liquidator has sought to take on record and consider the report of the Chartered Accountant and fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Companies (1 to 4). In this regard, this Tribunal hereby directs the Transferor Companies (1 to 4) jointly to pay a sum of ***₹1,25,000 + GST (Rupees One Lakh Twenty Five Thousand Only Plus GST)*** to the Official Liquidator for the

payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Companies (1 to 4).

7.14. OTHER STATUTORY AUTHORITIES

7.15. Despite notice having been served on 20.03.2023 and paper publication made on 27.03.2023 in The New Indian Express (All India Edition) in English and Dina Malar (Tamil Nadu Edition) in Tamil, there is no representation from the other statutory Authorities viz, Department of Income Tax. Under such circumstances this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

7.16. In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> *"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in* ***RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj)*** *and the same being also affirmed by the Hon'ble Supreme Court and as reported in* ***(2016) 66 taxmann.com.374(SC)*** *from which it is seen that at the*

time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

8. VALUATION REPORT

8.1. The Learned Counsel for the Petitioner Companies has invited the attention of this Tribunal to the Valuation Report obtained from one S. Sandeep, Registered Valuer dated 31.03.2021 wherein it has been recommended by the Registered Valuer as follows:

Share Exchange Ratio of Transferor Company-1	**No of shares held in Transferor Company**	**No of shares to be allotted by TRML**
0.68	100	68
Share Exchange Ratio of Transferor Company-2	**No of shares held in Transferor Company**	**No of shares to be allotted by TRML**
0.10	100	10
Share Exchange Ratio of Transferor Company-3	**No of shares held in Transferor Company**	**No of shares to be allotted by TRML**
0.01	100	1
Share Exchange Ratio of Transferor Company-4	**No of shares held in Transferor Company**	**No of shares to be allotted by TRML**
0.01	100	1

- *When the book value is negative for every 100 (One Hundred only) equity shares held by Shareholders in the Transferor Company, 1 (One only) equity share of Transferee Company needs to be allotted to shareholders of Transferor Company.*

9. ACCOUNTING TREATMENT

9.1. The Learned Counsel for the Transferor Companies (1 to 4) has stated that the Statutory Auditors of the Transferor Companies (1 to 4) have examined the Scheme and certified that the Transferor Company have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Amalgamation is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Transferor Companies (1 to 4) are placed at Page ***Annexure A19 to A 23*** of the Applicant Companies typed set filed in CP(CAA)/8/(CHE)/2023.

9.2. The Learned Counsel for the Petitioner companies has submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or

mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

10. OBSERVATIONS OF THIS TRIBUNAL

10.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances have been fulfilled, this Tribunal sanctions the Scheme of Amalgamation appended at ***"Annexure A17"*** in respect of the Joint Company Petition typeset filed along with the Petition as well as the prayer made therein.

10.2. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law,

against the concerned persons, directors and officials of the petitioners.

10.3. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Companies (1 to 4) shall, pursuant to section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Companies (1 to 4) shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That the Appointed date for the Scheme shall be **1st April, 2021** as mentioned in ***Clause 1.3 of Part-I*** of the Scheme.

(iv) That the 'Effective date' shall be the last of the dates on which the certified copies of this order of sanctioning the scheme is filed with concerned ROC as mentioned in ***Clause 1.4 of Part-I*** of the Scheme.

(v) That the Transferee Company do without further application allot to such members of the Transferor Companies (1 to 4), as have not given such notice of dissent, as is required by ***Clause 9 of Part II of the Scheme*** herein the shares in the Transferee Company to which they are entitled under the said Scheme.

(vi) That all proceedings now pending by or against the Transferor Companies (1 to 4) be continued by or against the Transferee Company.

(vii) That all the employees of the Transferor Companies (1 to 4) in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service.

(viii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies, and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee

Company after setting off the fees paid by the Transferor Companies (1 to 4).

(ix) That the Transferor Companies (1 to 4) and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Companies (1 to 4) shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Companies (1 to 4) registered with him on the file kept by him in relation to all the Transferee Company and the files relating to the said company shall be consolidated accordingly.

(x) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

12. Accordingly, the Company Petitions stands **allowed** on the aforementioned terms.

SAMEER KAKAR
MEMBER (TECHNICAL)

SANJIV JAIN
MEMBER (JUDICIAL)